Government Clamped Down on Expenditure on 8 April

The Ministry of Finance issued instructions on 8 April 2020, citing the stressed cash position in the first quarter, to regulate and control government expenditure. For the purpose of expenditure control, the ministries and departments of the Central government were placed in three categories, without specifying the rationale of the classification. No quantification of expected savings was explained either. In addition, large expenditures require prior clearance of the Ministry of Finance. No specific item of expenditure to be cut was specified in the order. It was left to the ministries and departments concerned.

Category A included seventeen demands. The ministries and departments controlling these demands were exempted from any cut. This category included apex institutions of the state like the President and the Supreme Court; the primarily rural-focused departments of Rural Development, Agriculture and Food and Public Distribution; departments engaged in delivering health services like the Department of Health, Ayush and Health Research; mandatory expenditures like interest payments; and some economic ministries and departments like Textiles, Civil Aviation and Pharmaceuticals. These seventeen demands had a budgeted expenditure of Rs 14.38 lakh crore, or 46.62 per cent of the total budget expenditure of Rs 30.42 lakh crore.

Category B included thirty-one demands. This category was subjected to limiting first quarter expenditure to 20 per cent with a further condition that expenditure would not exceed 8 per cent in any single month. This category included most departments that discharge sovereign functions, including public goods functions. Demands controlled by the ministries of Home Affairs, Police, Defence, Cabinet and Union Territories fall in this category. Three important economic and infrastructure ministries and departments fall in this category as well: Road Transport and Highways, Petroleum and Natural Gas, and Fertilizers. Budgeted expenditure for